

Punch Pubs

UK community pub operator — Punch Finance plc (£690m 7.875% SSNs 2030)

Prepared for internal use — CMCK Associates

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Coverage: B3 (Moody's) / B- (Fitch); S&P NR

SECTOR / INDUSTRY Consumer Discretionary — Pubs / Leisure	COUNTRY United Kingdom (100% of revenue)	COMPANY TYPE Private, sponsor-owned bond issuer	TICKER n/a — unlisted (notes admitted to TISE)
OWNERSHIP / SPONSOR Fortress Investment Group (since Dec-2021)	LAST UPDATE DATE 28-Sep-2026	COVERAGE STATUS 9fin covered; resources upload (pricing, holdings) incorporated	RESTRICTED GROUP Punch Pubs Group Ltd / Punch Finance plc

PASS — NOT ADDED TO WATCHLIST

No trigger currently present or clearly approaching. Liquidity is stable and improving (£97.6m, RCF fully undrawn); the £690m notes mature Dec-2030 (c.51 months out); leverage sits marginally above the notes' 6.5x incurrence gate but is not a maintenance breach and is trending down. The "pubs struggling" narrative that prompted this review traces mainly to peer Stonegate, not Punch — see Sector Context, p.4.

BUSINESS DESCRIPTION

Punch Pubs (formerly Punch Taverns) is the UK's seventh-largest pub operator, comprising 1,310 pubs across England, Scotland and Wales as at 17-May-2026. The estate is c.92% freehold or long-leasehold (>50 years remaining) and drink-led (c.77% of revenue), skewed to suburban/community locations (81% of the estate) rather than the high street or late-night market. Punch runs no directly-managed pubs; it operates two asset-light models through independent, largely live-in publicans: **Leased & Tenanted (L&T)** — 900 pubs (69% of the estate) — where Punch leases the site to a tenant and earns rent plus "tied" drink sales (c.97% of L&T pubs operate under tie agreements: below-market rent in exchange for the tenant buying most drinks from Punch at above-market prices); and **Pub Partnership (PP)** — 410 pubs (31%) — where Punch retains all sales and costs and pays the publican a percentage fee. PP generates higher revenue and EBITDA per site but shifts the maintenance/capex burden onto Punch; management has been actively converting L&T sites to PP (60 conversions in the 40 weeks to 17-May-26 vs. 22 a year earlier).

Corporate history: Punch Taverns underwent a three-year restructuring (2011–2014) that ended in a debt-for-equity swap cutting debt by £600m, centred on unwinding its whole-business securitisation (WBS) — a structure peers Greene King, Mitchells & Butlers and Stonegate remain tied into today. Punch exited the WBS in 2021, and in December 2021 Fortress Investment Group acquired 100% of the equity from Patron Capital for an enterprise value of c.£1.0bn (property then valued at c.£850–879m, c.93% freehold/long-leasehold). Since acquisition: in June 2025 Punch refinanced its £600m 2026 notes into £640m 7.875% Senior Secured Notes due Dec-2030 (upsizing the RCF from £70m to £85m); in February 2026 it placed a further £50m fungible tap of the same notes at a 102.75% premium, funding bolt-on freehold pub acquisitions rather than plugging a liquidity gap.

FREEHOLD PROPERTY — THE VALUATION FLOOR BEHIND THE CREDIT

Punch's freehold/long-leasehold estate (92% of sites) is independently valued by Savills at **£1,079.4m** (17-May-2026 cap table date), up from £992.0m (Feb-2025) and £849.7m (2021). Against net debt of £749.3m (incl. leases), that implies asset coverage of **~1.44x** — roughly £330m of headroom over and above the going-concern EBITDA-multiple story, and the basis for the 62.8% LTV the company itself reports (in preference to a pure EBITDA multiple) as its primary leverage lens. Security is a fixed first **equitable** charge over freehold and most leasehold real estate — lighter-touch than a fully perfected legal mortgage, with no requirement to register/perfect unless acceleration occurs. The Savills valuation is also a going-concern, largely desktop-style exercise (a 2021-era 9fin risk-factor extract on this estate noted "limited due diligence and property inspections"), so treat £1.1bn as a useful reference floor, not a guaranteed recovery number in a genuine distressed scenario (illiquidity, use-restriction covenants and a possible wave of independent-pub disposals could compress realisable value). Freehold ownership also gives Punch demonstrated disposal optionality that leaseholders lack: £92.6m of net proceeds from 172 pub disposals (2020–Feb-2025) at a 21.4x EBITDA multiple, though that pace has slowed sharply in FY26 (£3.1m/6 pubs vs. £8.4m/19 pubs a year earlier) as management pivots to net freehold acquisitions instead.

SITUATION OVERVIEW

Trading has improved consistently through FY26. Revenue for the 40 weeks to 17-May-26 was £274.7m (+9.1% YoY) and underlying EBITDA was £75.9m (+6.6% YoY); the subsequent Q3 FY26 earnings flash (to end-July) showed sales +8.6% YoY and EBITDA +5.8% YoY, with net leverage improving 0.1x to 6.6x on a secured basis (7.3x on an IFRS16 basis). Growth has been driven by like-for-like price/volume gains, continued L&T-to-PP conversion, and bolt-on freehold acquisitions (50 pubs for £36.2m in the period, funded by the February 2026 tap). Management described Q4 trading (to 12-Jul-26) as strong, helped by elevated England World Cup viewing (PP like-for-like sales +59% across the seven England match days).

One nuance worth flagging against the prior "Pass" call: LTM free cash flow has deteriorated sharply, and levered FCF has turned negative (£-6.6m), not because trading is weakening — underlying EBITDA is at a series high (£103.1m LTM) — but because net capex has nearly doubled (£27.4m FY25 to £49.8m LTM) on the back of the accelerated L&T-to-PP conversion programme and the freehold bolt-on acquisitions, compounded by higher cash interest on the enlarged £690m note balance. UFCF/EBITDA conversion fell from 77.3% (FY25) to 50.2% (LTM); LFCF/EBITDA is **n.a.** (negative). This is capex-funded, not EBITDA-driven, deterioration — see Summary Financials, p.3.

The one credit-relevant management change since the estate was last screened (27-Sep-2026) is at CFO level: Matt Ward (ex-CFO, Village Hotels; prior senior finance roles at Greene King) took over as CFO on 11-May-26, with 15-year incumbent Steve Dando moving into a newly created Chief Financial Strategist role rather than departing — a retention-oriented transition, not a distress signal. Near-term outlook per management is continued benefit from like-for-like growth, PP conversions, bolt-on M&A and cost optimisation; no mention of refinancing pressure, covenant concern or trading deterioration.

Note on leverage bases: 9fin's cap table shows 7.27x net total leverage (incl. £71.9m of IFRS16 leases) off £103.1m underlying EBITDA; the company's own Q3 FY26 guidance is 6.6x net (secured basis), against a stated financial policy target of below 6.0x. These are calculated on different EBITDA/debt bases (the company measure appears to net out leases and/or use a run-rate EBITDA including acquisition benefit) and are shown separately here, not blended — see Capital Structure, p.2.

KEY CATALYSTS

Liquidity

£97.6m as at 17-May-2026 (£12.6m cash + £85.0m fully undrawn RCF), up from £94.0m at FY25 year-end. Operating cash flow for the 40-week period was £64.1m — no indication of cash burn. Full £85m of RCF headroom is available.

Upcoming Maturities

£690m 7.875% Senior Secured Notes due **30-Dec-2030** (c.51 months out). £85m Super Senior RCF due **Jun-2030**, fully undrawn. No maturity wall within the standard 18–24 month screening window.

Covenant Headroom / Tests

Actual secured net leverage (6.6x) currently sits marginally above the notes' **6.5x** senior secured net leverage incurrence gate — a capacity constraint on further ratio debt/restricted payments, not a maintenance test and not a breach. The RCF carries a springing covenant capping net cash RCF drawings' LTV at **0.15x**, tested quarterly only once drawings exceed **40%** of the £85m facility (£34.0m); with the RCF fully undrawn (0%), this test is not currently live. No portfolio-wide maintenance LTV covenant exists on the notes despite the prominence of the property-value disclosure.

MANAGEMENT & SPONSOR REPRESENTATION

Name	Role	Relevant Experience
Andy (Andrew) Spencer	CEO (since 2024); board 21-May-2026	Allied Domecq; senior roles at Greene King Pub Partners/Metropolitan Pub Co and Brewhouse & Kitchen before joining Punch as MD of Operations. 20+ years UK hospitality across L&T and managed models.
Matt Ward	CFO (from 11-May-2026); board 21-May-2026	Previously CFO, Village Hotels. Prior senior finance roles at Greene King (Finance Director, Partnership & Ventures; Group M&A Director) and other leisure/retail businesses.
Steve Dando	Chief Financial Strategist (new role, May-2026; CFO for prior 15 years)	Joined Punch 2003; ICAEW-qualified, began career at PwC; ex-Chairman, Matthew Clark and Bromford Housing; interim CEO of Punch in 2017. Move framed by CEO as retention, not departure.
Taylor Hunter	Chairman	Career background not available — further diligence required (detail behind payroll). Likely source: Companies House officer filings.
Ed (Edward) Bashforth	Former Commercial Projects Director & Co. Secretary; resigned 19-Jun-2026	Joined 2007, c.19 years' tenure. Characterised by CEO as recognising "a significant and positive contribution," not distress-related.
Fortress Investment Group	Sole sponsor since Dec-2021 (acquired from Patron Capital)	Cyril Courbage (MD, Fortress) named at acquisition. Current named board representative not available — further diligence via Companies House.

Biographical detail cross-checked via trade press against 9fin-sourced TISE filings; not independently verified beyond press coverage.

CAPITAL STRUCTURE

Cap table as of 17-May-2026 (9fin); trading and holdings sourced from resources uploaded by Ciarán (see Debt Holdings, p.3, and Trading Data, p.4). Issuer: Punch Finance plc.

Instrument	Amount O/S	x EBITDA	Rate	Maturity	Price (26-Sep-26)	YTM	Rating (Moody's/S&P/Fitch)
£85m Super Senior RCF	£0.0m drawn / £85.0m total	n/a (undrawn)	SONIA + 275bps (ratchet 225–275)	Jun-2030	n/a	n/a	Not separately rated; ranks super senior
£640m Senior Secured Notes	£640.0m	6.69x gross secured (combined, see below)	Fixed 7.875%	30-Dec-2030	102.336	~7.24%*	B3 / B+ / B+ (at issuance)
£50m fungible tap (Feb-2026)	£50.0m	incl. in 6.69x above	Fixed 7.875% (same terms)	30-Dec-2030	102.336†	~7.24%*†	B3 / B+ / B+ (at issuance)
Gross Secured Debt	£690.0m	6.69x / 63.92% LTV					
less: Cash	(£12.6m)						
Net Secured Debt	£677.4m	6.57x / 62.76% LTV					
plus: Lease liabilities (IFRS16)	£71.9m						
Net Debt (incl. leases)	£749.3m	7.27x total / 69.42% LTV					

Two non-comparable leverage bases — do not blend: (1) 9fin cap table: **7.27x** net total (incl. leases); (2) company-guided (Q3 FY26 flash): **6.6x** net secured, target <6.0x — likely nets out leases/uses run-rate EBITDA. CFR: Moody's B3 / Fitch B- / S&P NR. *YTM is an analyst approximation from the uploaded price series (approx.-yield formula, 26-Sep-26 price, 7.875% coupon, ~4.26yrs to maturity), not source-quoted. †Tap is fungible with the £640m notes; price series is titled for the £640m tranche only, so the tap's price/yield are inferred, not separately confirmed.

LIQUIDITY BUILD

As of 17-May-2026 (9fin cap table)

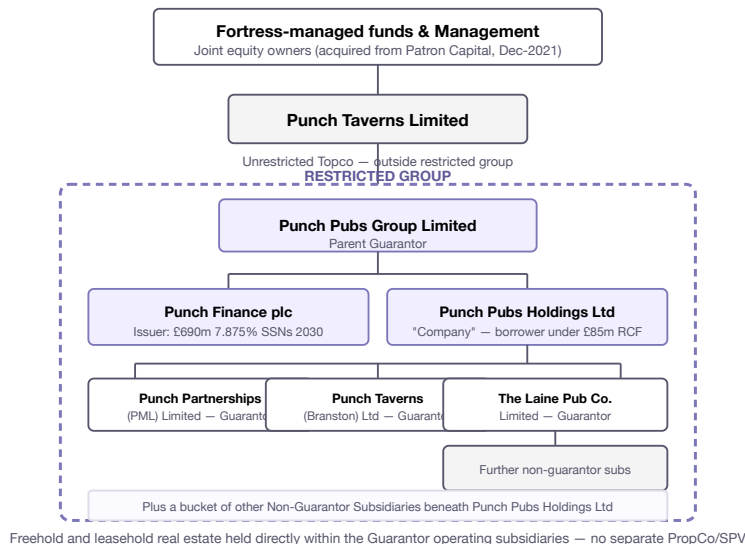
Item	£m
Cash and cash equivalents	12.6
Undrawn RCF	85.0
Drawn RCF (of £85.0m, 0%)	0.0
Total liquidity	97.6

Minimum operating liquidity & covenant test

Item	Detail
Min. operating liquidity threshold	Not disclosed — further diligence required (Annual Report / indenture liquidity disclosure)
RCF springing covenant	Net cash RCF drawings LTV < 0.15x, tested at quarter-end only if drawings > 40% of commitments
Headroom to test activation	Full £85.0m (drawings are 0%, well below the 40% trigger)

Liquidity has improved since FY25 year-end (£94.0m → £97.6m). No RCF drawn means the springing covenant is not currently tested.

GROUP STRUCTURE



Source: 9fin org chart (19-May-2025) and Bond Legal QuickTake (20-May-2025). Day-one Issuer/Guarantors represented 97.7% of Group revenue, 98.5% of Adj. EBITDA and 92.9% of total assets. 9fin flags a structural risk: covenants permit transferring Collateral (incl. freehold property) to non-Guarantor Restricted Subsidiaries with no debt sub-limit — "heightened" subordination risk in 9fin's view, though nothing observed here suggests it is currently being exercised.

DEBT HOLDINGS

Source: holder register uploaded by Ciarán (snapshot 30-Aug-2026). Filename references the £640m tranche only, but back-solving each holder's £ amount against its % is consistent with a £690.0m (combined) denominator, not £640.0m — confirmed by the Phase 2.5 auditor. 43 holders in total; no holder-level data exists for the £85m RCF (undisclosed bank facility).

Rank	Holder	Instrument	Amount Held (£)	% of Instrument	Cumulative %
1	Fidelity	£690m SSNs 2030	48,359,125	7.01%	7.01%
2	Lord Abbett	£690m SSNs 2030	41,403,813	6.00%	13.01%
3	Schroders	£690m SSNs 2030	41,216,440	5.97%	18.98%
4	FundsNetwork	£690m SSNs 2030	31,902,152	4.62%	23.60%
5	RL360	£690m SSNs 2030	29,966,539	4.34%	27.94%
6	Muzinich & Co.	£690m SSNs 2030	17,107,156	2.48%	30.42%
7	Vontobel	£690m SSNs 2030	14,122,434	2.05%	32.47%
8	Wellington	£690m SSNs 2030	12,974,827	1.88%	34.35%
9	J.P. Morgan Asset Management	£690m SSNs 2030	12,450,376	1.80%	36.15%
10	BNY	£690m SSNs 2030	12,443,866	1.80%	37.95%
Total (top 10)			£261,946,728	37.95%	—

Holder base is granular: top 10 hold only c.38%, with 33 further holders accounting for the rest. Against the notes' amendment thresholds (security/key terms 90%, guarantee release 75%, other 50.01%), no single holder is close to a blocking stake — modestly credit-supportive, but implies wide syndication for any consent solicitation.

REVENUE SPLITS

By geography

Punch operates solely in the UK — no sub-UK geographic revenue split is disclosed. Pub count by region (17-May-2026): South East/London 311, North East 261, Midlands/East Anglia 251, North West 234, South West 202, Scotland 30, Wales 21.

By operating segment

(£m)	FY2024 (52wk to 11-Aug-24)	FY2025 (52wk to 10-Aug-25)	YTD FY26 (40wk to 17-May-26)
Leased & Tenanted (L&T) revenue	125.4	129.5	95.7
Pub Partnership (PP) revenue	198.1	208.4	179.0
Total revenue	323.5	337.9	274.7
PP % of total revenue	61.2%	61.7%	65.2%
PP % of EBITDA (ex. central costs)	n/a	44.1%	44.9%

PP was only 25–31% of the estate by count but generates c.61–65% of revenue and c.40–45% of EBITDA before central costs — materially higher per site than L&T. Drink revenue has held at c.77–78% of group revenue since FY2022, consistent with a "wet-led" estate.

SUMMARY FINANCIALS

(£m)	FY2023	FY2024	FY2025	LTM (17-May-26)
Revenue	313.5	323.5	337.9	360.9
Gross profit margin	Not disclosed – no cost-of-sales subtotal in 9fin's income statement. Source: Companies House accounts.			
Adj./Underlying EBITDA	81.9	91.1	98.4	103.1
Adj. EBITDA margin	26.1%	28.2%	29.1%	28.6%
Net capex	(19.6)	(14.0)	(27.4)	(49.8)
Net debt, pre-IFRS16	609.7	625.7	631.0	677.4
Net leverage, pre-IFRS16	7.4x	6.9x	6.4x	6.6x
Net debt, IFRS16 (incl. leases)	683.4	697.1	706.3	749.3
Net leverage, IFRS16 (incl. leases)	8.3x	7.7x	7.2x	7.3x
Interest coverage (EBITDA/net interest)	1.7x	1.9x	1.8x	1.6x
Loan-to-value (net debt/property value)	n/a	~68.9%*	62.4%	62.8%

LTM leverage (6.6x pre-IFRS16 / 7.3x IFRS16) and Q3 FY26 EBITDA growth (+5.8%) tie out exactly to the 27-Sep-2026 screen — corroborated, not just carried forward. *FY24 LTV is an approximate print.

Free Cash Flow Build

(£m)	FY2023	FY2024	FY2025	LTM (17-May-26)
Adj./Underlying EBITDA	81.9	91.1	98.4	103.1
less: Cash taxes paid	(0.1)	0.0	0.0	0.0
+/- Change in NWC	0.6	6.4	5.1	(1.5)
less: Net capex	(19.6)	(14.0)	(27.4)	(49.8)
Unlevered FCF (UFCF)	63.0	83.5	76.1	51.8
less: Cash interest (bond/RCF)	(39.2)	(40.2)	(38.9)	(48.2)
less: Lease interest & capital repayment	(9.9)*	(9.7)	(9.7)	(10.2)
Levered FCF (LFCF)	13.9	33.6	27.5	(6.6)
UFCF / EBITDA conversion	77.0%	91.7%	77.3%	50.2%
LFCF / EBITDA conversion	17.0%	36.9%	27.9%	n.a.

*FY23 lease interest not split from capital repayment in that year's disclosure; shown combined. The LTM fall in conversion is driven almost entirely by the near-doubling of net capex and higher cash interest on the enlarged £690m note balance — not underlying trading weakness (EBITDA is at a series high). Cash taxes treated as nil/negligible (not confirmed) — further diligence required via Companies House accounts.

TRADING DATA — £640M/£690M 7.875% SSNS DUE 2030



Source: daily clean-price series uploaded by Ciarán (22-May-2025 to 26-Sep-2026), £640m tranche. Series high 103.798 (07-Jul-26); series low 99.746 (27-Mar-26). Approximate YTM at the latest price is ~7.24% (analyst estimate, not source-quoted). Price held around the 102–103 level through the £50m tap pricing in February before declining gradually over the following month to the series low on 27-Mar-26 (no single dated catalyst identified for this move in the news/document set reviewed), then recovering steadily into the summer ahead of the Q3 FY26 results.

RECENT NEWS

Date	Description	Source
23-Sep-26	Stonegate in talks with Heineken to sell hundreds of pubs "as debts mount" (peer, not Punch)	Food Manufacturer
18-Sep-26	Stonegate Q3 FY26 flash: sales -8.6% YoY, net leverage -0.2x to 8.1x (peer comparator)	9fin
24-Aug-26	UK Treasury brings in expert to review business rates for pubs and hotels	9fin European Morning Coffee
13-Aug-26	9fin sector explainer "How do pubs make money?" — Punch flagged as most freehold-heavy (92%) and least labour-exposed of the four major UK pubcos; Stonegate flagged as most leveraged (7.9x, 88% LTV)	9fin Educational
31-Jul-26	Punch Q3 FY26 earnings flash: sales +8.6% YoY, EBITDA +5.8% YoY, net leverage -0.1x to 6.6x	9fin
09-Jul-26	Fitch affirms Stonegate at CCC+ (peer comparator, not Punch)	Fitch Ratings
19-Jun-26	Punch Finance plc directorate change: Ed Bashforth resigns from the board after almost two decades	TISE (Punch Finance plc RNS)
11-May-26	Matt Ward starts as new CFO (ex-Village Hotels, prior Greene King); Steve Dando moves to Chief Financial Strategist role	The Caterer
08-May-26	Punch Q2 FY26 earnings flash: sales +11.3% YoY, EBITDA +8.1% YoY, net leverage +0.3x to 6.7x	9fin
13-Feb-26	New deal: £50m private tap of the 7.875% Senior Secured Notes due 2030, priced at 102.75% to fund bolt-on freehold acquisitions	9fin (issuer press release)
05-Jun-25	Punch issues £640m 7.875% Senior Secured Notes due Dec-2030, refinancing the £600m SSNs due 2026	9fin Bond Legal QuickTake

SECTOR CONTEXT — IS THIS A PUNCH PROBLEM OR A PUB-SECTOR PROBLEM?

A creditor recently characterised UK pubs as "struggling." On the evidence gathered, this is best read as a sector-wide narrative driven primarily by **Stonegate** (TDR Capital) and by macro cost pressures, not a Punch-specific signal. Stonegate's Q3 FY26 (18-Sep-26) showed sales -8.6% YoY, net leverage still 8.1x (vs. Punch's 6.6x), a c.88% lease-adjusted LTV (vs. Punch's 62.8%), a CCC+ Fitch rating (vs. Punch's B3/B-), a whole-business-securitisation-plus-unrestricted-subsidary structure 9fin's own legal team has flagged as complex, and reported talks (23-Sep-26) to sell hundreds of pubs to Heineken "as debts mount." Separately, there is a genuine sector-wide cost headwind — National Living Wage +4.1% and employer NIC +1.2pt through 2025–26 (c.£2,500/FTE for operators bearing labour directly), nearly two pub closures a day nationally in Q1 2026, and an HM Treasury business-rates review announced August 2026 — but this bites hardest on managed/food-led operators who directly employ staff, not on Punch, whose independently-operated L&T/PP model pushes labour costs onto tenants and partnership operators.

Freehold ownership is the clearest structural differentiator. Punch is the most freehold-heavy of the UK's four major pubcos (92%), giving it a materially lower LTV, demonstrated disposal optionality, and an asset base (Savills £1,079.4m) that over-collateralises the £690m of secured notes by c.1.44x. Stonegate, by contrast, carries c.88% lease-adjusted LTV and carved its own freehold Platinum estate (944 tied + 90 free-of-tie pubs) into an *unrestricted* subsidiary in 2024 — reducing, not adding to, creditor recourse to that freehold value. 9fin's own September 2026 distress tracker adds five names this month (Awaze, Iberconsa, Hilding Anders, Landal, Wagamama) but does not add Punch or Stonegate, though Stonegate's weaker metrics mean it may already sit on an earlier month's list (out of scope for this pull).

RECOMMENDATION

Add to restructuring watchlist: No. None of the three key triggers is present or clearly approaching for Punch specifically:

- Covenant trip — not active.** Actual leverage (6.6x) sits marginally above the notes' 6.5x incurrence gate, restricting further ratio debt/restricted payments, but this is a capacity constraint, not a maintenance breach. The RCF's springing LTV covenant is untested (0% drawn vs. the 40%-of-commitments activation threshold).
- Leverage / maturity wall — not active.** The £690m notes mature Dec-2030 (c.51 months out), well outside the 18–24 month screening window, and Punch has demonstrated continued capital-markets access on favourable terms (the Feb-2026 tap priced at a premium to fund accretive M&A, not to plug a gap).
- Liquidity — not active, and improving.** £97.6m available, RCF fully undrawn, up from £94.0m at FY25 year-end. The one genuine watch item is the LFCF turning negative on the capex step-up (see p.3) — worth tracking, but capex-funded rather than trading-driven, and the group retains full disposal optionality against a £1.1bn freehold base if a liquidity need ever arose.

On the specific question of property: freehold ownership is Punch's single clearest source of resilience relative to peers — it lowers LTV, funds an inflation hedge (c.a third of EBITDA is RPI/CPI-linked rental income), provides disposal optionality, and over-collateralises the secured notes by c.1.44x on an independent (if desktop-style) valuation. It cuts both ways operationally: as Punch converts sites from L&T to the higher-margin PP model, it takes on the maintenance capex that tenants previously bore, which is the direct cause of the FCF deterioration flagged above. Recommendation: **maintain Pass**, but monitor sector cost inflation (NLW/NIC/business-rates review outcome) and Stonegate's Heineken process as a leading indicator for the wider UK pub sub-sector, given Punch's comparative resilience could still be tested if cost pressure or consumer discretionary spend deteriorates further.